

3. Markets Overvalued



If you've invested in the stock market, gold, or REITs and have seen a significant increase in their value over the past year, it might be a good time to consider booking some of your profits. The thing is, markets tend to operate in cycles, with periods of euphoria followed by panic. Therefore, when the markets are doing well, it's a great opportunity to book some of the profits. If you're close to achieving your financial goal, feel free to book a higher percentage.

But if you still have a long way to go, it's best to let your investments grow and only book a small portion of your profits. Remember, it's impossible to time the highest point, and your investments could potentially go even higher.

Also, just make sure to check the tax implications before booking your profits to ensure you are compliant with the laws.